

Table of Contents

Table of Contents.....	1
Introduction	4
General Program Information	5
Income Documentation Types	5
Loan Amounts and LTV/CLTV	5
Loan Programs.....	5
Prepayment Penalty	5
Guideline Exceptions	5
Transaction Details	6
Occupancy	6
Loan Purpose	6
Purchase.....	6
Rate & Term Refinance	6
Cashout Refinance	6
Refinance Seasoning.....	7
Purpose of Cashout	7
Delayed Financing.....	7
Benefit to Borrower.....	7
Inherited Properties and Property Buyouts	8
Permanent Financing for New Construction	8
Secondary Financing	9
Borrowers	9
Eligible Borrowers.....	9
Power of Attorney.....	9
Vesting in Entities	10
Credit Requirements.....	10
ECOA & Fair Housing Act.....	10

Program Guidelines

Credit Report.....	10
Inquiries.....	10
Gap Credit Report.....	10
Credit History.....	10
Standard Tradelines	11
Unacceptable Tradelines	11
Rolling Late Payments	11
Past Due Accounts	11
Delinquent Credit Belonging to Ex-Spouse.....	11
Lawsuit or Pending Litigation	12
Consumer Credit Counseling Service (CCCS).....	12
CREDIT EVENTS [SEE PROGRAM MATRIX]	12
Assets.....	12
Asset Documentation	12
Bank Statements	12
Gift Funds [See Matrix for additional restrictions]	12
Gift of Equity.....	13
Business Accounts	13
Retirement Accounts	13
Foreign Accounts.....	14
Reserves requirements	14
Income	14
Acceptable Income Doc Types	14
Income: Stability, Increasing & Declining Income.....	14
Income: Full Doc - Salaried Applicants.....	15
Income: Full Doc - Bonus Income.....	15
Income: Full Doc - Overtime Income	15
Income: Full Doc - Commission Income	15
Self-Employment Income	16

Program Guidelines

Bank Statement Income (Self Employed borrowers only)	16
P&L Income	17
1099 Income	17
Foreign National.....	17
Self-Employed Foreign National.....	17
Wage Earner Foreign National	17
Eligible Assets	17
Credit	18
Debt Service Coverage Program.....	18
Property	18
Condominiums	19
Non-Warrantable Condos:	19
Improvements to Properties	19
Appraisal Requirements	19
Seller Concessions	20
Flips.....	20
TIC (Tenancy in Common) Underwriting Requirements	20
Miscellaneous	25
Programs: Property Insurance Coverage Requirements	25

Program Guidelines

Introduction

These guidelines serve to provide direction and consistency in loan, borrower, and property eligibility.

Loan Origination

5TH Street Capital evaluates many aspects of the loan but primarily relies on evaluation of the borrower's ability to repay the loan to predict loan performance. Additional characteristics of the loan are also examined including credit history, asset position, and the property being used for collateral.

5TH Street Capital has a no-tolerance policy as it relates to fraud. Brokers should follow their own established fraud and identity procedures on every loan to prevent and detect fraud (including, but not limited to, Social Security number verification, verbal verifications of employment, processing of 4506-T, etc.) Loans containing fraudulent documentation or information will immediately be declined and forwarded for further review. If there is any determination of broker involvement, the broker will be made inactive, and the appropriate agencies notified. 5TH Street Capital will also pursue borrower fraud to the fullest extent of the law.

Fair Lending Statement

5TH Street Capital operates in accordance with the provisions of the Fair Housing Act and Equal Credit Opportunity Act. The Fair Housing Act makes it unlawful to discriminate in housing-related activities against any person because of race, color, religion, national origin, sex, handicap, or familial status. The Equal Credit Opportunity Act prohibits discrimination with respect to any aspect of a credit transaction on the basis of sex, race, color, religion, national origin, marital status, age (provided the borrower has the capacity to enter into a binding contract), receipt of public assistance, or because the borrower has in good faith exercised any right under the Consumer Credit Protection Act. 5TH Street Capital fully supports the letter and spirit of both laws and will not condone discrimination in any mortgage transaction.

Responsible Lending Statement

The primary focus is the borrower's ability to repay the mortgage obligation.

Under the general Ability-to-Repay (ATR) standard, lenders must make a reasonable, good-faith determination that the consumer has a reasonable ability to repay the loan. Lenders must verify information using third-party records that provide reasonably reliable evidence of income or assets. If a loan is subject to the ATR rules under the Federal Truth in Lending Act ("TILA"), lenders must consider eight underwriting factors to comply:

- Current or reasonably expected income or assets (other than the value of the property that secures the loan) that the consumer will rely on to repay the loan.
- Current employment status (if you rely on employment income when assessing the consumer's ability to repay).
- Monthly mortgage payment for this loan. You calculate this using the introductory or fully indexed rate, whichever is higher, and monthly, fully amortizing payments that are substantially equal.
- Monthly payment on any simultaneous loans secured by the same property.
- Monthly payments for property taxes and insurance that you require the consumer to buy, and certain other costs related to the property such as homeowner's association fees or ground rent.
- Debts, alimony, and child support obligations.
- Monthly debt-to-income ratio or residual income, that you calculated using the total of all the mortgage and non-mortgage obligations listed above, as a ratio of gross monthly income.
- Credit History:
5TH Street Capital will not close a loan subject to the ATR requirement under TILA unless it meets the requirements of the rule. Certain loans may be exempt from TILA or otherwise exempt from the ATR rule. In those cases, though 5TH Street Capital may choose to close a loan that does not adhere to the formal requirements of the ATR rule, and will only close loans that the applicant appears able to afford based on application of prudent underwriting standards.

Program Guidelines

General Program Information

Income Documentation Types

- FULL DOCUMENTATION (Self Employed or Wage Earner)
- BANK STATEMENTS (12 OR 24 MONTHS)
- ASSET DEPLETION
- DSCR
- P&L
- 1099

Loan Amounts and LTV/CLTV

- \$200,000 - \$5,000,000 [see matrix for details – exceptions available]
- Up to 90% [see matrix for details – exceptions available]

Loan Programs

FULLY AMORTIZING	TERM	QUALIFYING RATE
30 YEAR FIXED	360	NOTE RATE
40 YEAR FIXED	480	NOTE RATE
5/6 months SOFR ARM (2/2/5 Cap)	360	> NOTE RATE OR FULLY INDEXED RATE
7/6 months SOFR ARM (2/2/5 Cap)	360	> NOTE RATE OR FULLY INDEXED RATE
INTEREST ONLY	TERM	QUALIFYING RATE
30 YEAR FIXED (10 YEAR I/O)	360	NOTE RATE - FULLY AMORTIZED 20 YEARS
40 YEAR FIXED (10 YEAR I/O)	480	NOTE RATE - FULLY AMORTIZED 30 YEARS
5/6 months SOFR ARM (2/2/5 Cap)	360	> NOTE RATE OR FULLY INDEXED RATE FULLY AMORTIZED 20 YEARS
5/6 months SOFR ARM (2/2/5 Cap)	480	> NOTE RATE OR FULLY INDEXED RATE FULLY AMORTIZED 30 YEARS
7/6 months SOFR ARM (2/2/5 Cap)	360	> NOTE RATE OR FULLY INDEXED RATE FULLY AMORTIZED 20 YEARS
7/6 months SOFR ARM (2/2/5 Cap)	480	> NOTE RATE OR FULLY INDEXED RATE FULLY AMORTIZED 30 YEARS

Prepayment Penalty

3-year prepayment is required on investment property transactions where permitted by applicable law. Buydown options are available to reduce or remove prepayment penalties. See Rate Sheet and matrix for details.

Prepayment penalties on primary residence and second home transactions are prohibited.

Guideline Exceptions

Exceptions to published guidelines are considered on a case-by-case basis. Loans with exception requests should exhibit strong compensating factors. Approved exceptions are subject to additional fees and/or documentation.

Program Guidelines

Transaction Details

Occupancy

OWNER OCCUPIED, NON-OWNER (INVESTMENT), SECOND HOME

Loan Purpose

Purchase

Rate & Term Refinance

The mortgage amount for a rate/term refinance is limited to the sum of the following:

- Existing first mortgage payoff
- Closing costs and prepaid items (interest, taxes, insurance) on the new mortgage
- The amount of any subordinate mortgage liens used in their entirety to acquire the subject property (regardless of seasoning)
- The amount of a home equity line of credit in first or subordinate lien position that was used in its entirety to acquire the subject property (regardless of seasoning)
- Any subordinate financing that was not used to purchase the subject property provided:
 - For closed end seconds, the loan is at least one year seasoned as determined by the time between the note date of the subordinate lien and the application date of the new mortgage.
 - For HELOCs and other open-ended lines of credit, the loan is at least one year seasoned and there have been less than \$2,000 in total draws over the past 12 months.

On rate/term transactions, the borrower may only receive cash back in an amount that is the lesser of 2% of the new mortgage balance or \$10,000.

Cashout Refinance

A cash-out refinance is a refinance that does not meet the rate/term refinance definition. Cash-out would include a refinance where the borrower receives cash from the transaction or when an open-ended subordinate lien (that does not meet the rate/term seasoning requirements) is refinanced into the new transaction.

A mortgage taken out on a property previously owned free and clear is always considered a cash-out refinance.

A "Paid in Kind" loan that is being refinanced is to be treated as cashout.

The mortgage amount for a cash-out refinance transaction may include any of the following:

- Existing first mortgage payoff
- Closing costs and prepaid items (interest, taxes, insurance) on the new mortgage
- The amount of any subordinate mortgage liens being paid off that do not meet seasoning and draw history requirements as described in Rate/Term Refinance
- The amount of any non-mortgage related debt paid off through closing.
- Additional cash in hand reflected on the settlement statement.

Texas [50(a)(6)] transactions are not eligible (owner occupied cash out refinances)

Program Guidelines

Refinance Seasoning

- At least one borrower on the new loan must be an owner (on title) of the subject property at the time of the initial application. Exceptions are allowed if:
 - The borrower acquired the property through an inheritance or was legally awarded the property (such as through a divorce, separation, or dissolution of a domestic partnership); or
 - The property was previously owned by an inter vivos revocable trust and the borrower is the primary beneficiary of the trust.
- Rate/Term Refinance – No seasoning requirement.
- Cash Out Refinance – 6 Months required from Purchase date to Note date.
- No waiting period for properties obtained through inheritance, divorce, or separation.
- If the most recent transaction on the property was a cash-out refinance within the last 6 months, the new mortgage is not eligible as a rate/term and must proceed as a cash-out refinance. Note date to note date is used to calculate the 6 months.

Purpose of Cashout

- A signed letter from the borrower disclosing the purpose of the cash-out is required.
- For DSCR transactions, cash out proceeds may only be utilized for business purposes as prescribed on the Business Purpose Affidavit signed by the borrower at application and closing.

Delayed Financing

Cash-out on properties purchased by the borrower with cash and owned less than 6 months is allowed. The following requirements apply:

- The original transaction was an arm's-length transaction.
- Settlement statement from purchase confirms no mortgage financing used to acquire subject.
- Source of funds used for purchase documented (gift funds may not be included)
- The new loan amount can be no more than the actual documented amount of the borrower's initial investment in purchasing the property plus the financing of closing costs, prepaid fees and points on the new mortgage loan (subject to the maximum LTV, CLTV and HCLTV ratios for the cash-out transaction based on the current appraised value).
- All other cash-out refinance eligibility requirements must be met.

Benefit to Borrower

All primary residence and second home rate and term refinance transactions must have a measurable benefit to the borrower.

When determining the benefit on a refinance transaction, one or more of the following must exist to support the benefit to the borrower:

- Balloon payoff
- Title transfer
- Property retention
- Rate reduction
- P&I reduction
- Debt reduction

Program Guidelines

State-specific and/or federal benefit to borrower compliance requirements must be adhered to.

Files must contain documentation supporting the acceptable benefit when requested.

Additional restrictions apply if the new loan refinances an existing loan considered to be a special mortgage.

A special mortgage is originated, subsidized, or guaranteed by or through a state, tribal, or local government, or nonprofit organization that either bears a below-market interest rate at the time the loan was originated or has nonstandard payment terms beneficial to the borrower, such as payments that vary with income, are limited to a percentage of income, or where no payments are required under specified conditions.

If the borrower loses one or more of the benefits of the special mortgage, then both of the following apply:

- Broker must check that the loan complies with all applicable state and local laws as well as laws associated with the subject special loan program for compliance; and
- Broker must take special care to ensure a net tangible benefit to the borrower.

Inherited Properties and Property Buyouts

Refinances of inherited properties and properties legally awarded to the borrower (divorce, separation, or dissolution of a domestic partnership) are allowed. If the subject property was acquired < 12 months prior to loan closing, the transaction is considered a cash-out.

These transactions are subject to the following:

- A written agreement signed by all parties stating the terms of the buyout and property transfer must be obtained.
- Equity owners must be paid through settlement.
- Subject property has cleared probate and property is vested in the borrower's name.
- The current appraised value is used to determine loan-to-value.

Permanent Financing for New Construction

The conversion of construction-to-permanent financing involves the granting of a long-term mortgage to a borrower to replace interim construction financing obtained by the borrower to fund the construction of a new residence. The borrower must hold title to the lot, which may have been previously acquired or purchased as part of the transaction.

When a refinance transaction is used, the borrower must have held legal title to the lot before he/she applied for the construction financing and must be named as the borrower for the construction loan.

A construction-to-permanent transaction may be closed as a purchase, rate/term refinance or cashout refinance. All construction work must be complete.

- For lots owned ≥ 12 months from application date for the subject transaction, LTV is based on the current appraised value.
- For lots owned < 12 months from application date for subject transaction, LTV is based on the lesser of the current appraised value of the property or the total acquisition costs (sum of construction costs and purchase price of lot).

Program Guidelines

Secondary Financing

- If the subordinate financing has a simultaneous closing, the following is required:
 - A copy of the loan approval and repayment terms for the new financing; and
 - A copy of the executed note at closing
- If the subordinate financing is being subordinated, the following is required:
 - The repayment terms of the existing second lien
 - An unsigned copy of the subordination agreement prior to closing; and
 - A copy of the executed subordination agreement at closing
- The following requirements apply to all subordinate liens:
 - Permitted on Primary Residence and Second Home Only (prohibited on DSCR)
 - Must be institutional
 - Seller-held subordinate liens are not permitted
 - Must be recorded and be clearly subordinate to the new mortgage
 - Payment on the subordinate financing must be included in the borrower's DTI. If a payment is unable to be determined, 1% of the original loan balance can be used.
 - If the debt is an equity line of credit, the CLTV ratio is calculated by adding the total HELOC credit line limit (rather than the amount of the HELOC in use) to the first mortgage amount, plus any other subordinate financing, and dividing that sum by the value of the property.
 - Negative amortization is not allowed, and the scheduled payments must be sufficient to cover at least the interest due.

Borrowers

Eligible Borrowers

- **US Citizens**
- **Permanent Resident Aliens:** Individuals who permanently reside in the United States. Required evidence: Legible front and back copy of the borrower(s) current Permanent Resident Alien Card (green card).
- **Non-Permanent Resident Aliens:** Individuals who live and work the United States. Required evidence: Legible front and back copy of the borrower(s) valid work visa.
- **ITIN:** Individuals with an ITIN who reside and work within the United States but do not possess US Citizenship. Required evidence: Unexpired ITIN card or IRS issued letter and unexpired government photo ID.
- **Foreign National:** A person who is not a resident of the United States and does not permanently reside or work in the United States. Required evidence: Unexpired passport from country of origin.

Power of Attorney

- The POA can be used for closing documents only and is not acceptable for application or credit verification documents.
- The attorney-in-fact may not have any direct or indirect financial interest in the transaction (coborrowers are allowed to act as the POA).
- The POA should be durable and in full force and effect on the closing date, it would need to allow for it to be revoked in writing, or gives a specific expiration date which should be after closing. Must be a Specific POA.
- Must be dated no more than 90 days prior to the closing date.
- The POA must be approved by the title company.
- POA may not be used to sign on behalf of a trustee for a loan using a trust.
- POA is not eligible on foreign national loans or cash out loans.

Program Guidelines

Vesting in Entities

We allow vesting in entities for all transaction types and occupancies. See the Resources page on the website for details on vesting in a Revocable Trust, LLC, Partnership and Corporation.

Credit Requirements

ECOA & Fair Housing Act

The Federal Equal Credit Opportunity Act prohibits lenders from discriminating against credit borrowers on the basis of race, color, religion, national or ethnic origin, sex, marital or familial status, age (provided the borrower has the capacity to enter into a binding contract), disability, because all or part of the borrower's income is derived from a public assistance program or because the borrower has, in good faith, exercised any rights under the Consumer Credit Protection Act. State laws may also prohibit discrimination on certain additional basis such as sexual orientation.

Similarly, the Fair Housing Act prohibits lenders from discriminating against mortgage borrowers on the basis of race, color, religion, sex, familial status, national origin, or disability.

Credit Report

A credit report must be obtained for all borrowers with a valid Social Security Number or Individual Taxpayer Identification Number. The credit report should provide merged credit information from the 3 major national credit repositories.

Either a three-bureau merged report, or a Residential Mortgage Credit Report (RMCR) is required. The credit report should include verification of all credit references provided on the loan application and must certify the results of public record searches for each city where the individual has resided in the last 2 years.

Inquiries

A signed letter of explanation from the borrower or creditor is required for all inquiries within the most recent 90 days to determine whether additional credit was granted as a result of the borrower's request.

Gap Credit Report

A gap credit report from at least one of three major national credit repositories (Transunion, Equifax, or Experian) is required within 10 days of closing.

Credit History

A Residential Mortgage Credit Report (RMCR) attempting to request information from all three credit bureaus is required for each borrower. At least 2 of the 3 credit bureaus must report information or the borrower must be treated as having a Non-Traditional Credit profile. The credit report should include the results of public record searches for each city where the individual has resided in the last 2 years. ***RMCR's reflecting credit scores from all 3 bureaus are not subject to Tradeline requirements listed below.*** The middle score of the primary wage earner is used to qualify. For married borrowers earning equal income or non-married (co) borrowers, the lower middle score will be used to qualify.

See related section for Foreign Nationals

Program Guidelines

Standard Tradelines

Each borrower must have either one of the following:

- 3 tradelines w/ at least 12 months reviewed, and activity reported in the past 12 months
- 2 tradelines w/ at least 24 months reviewed, and activity reported in the past 12 months

Valid tradelines have the following characteristics:

- The credit line must be reflected on the borrower's credit report and may include self-reported utilities
- The account must have activity in the last 12 months but may be open or closed
- An acceptable 12 or 24-month housing history not reporting on credit may also be used as a tradeline (VOR with credit supplement and may come from either a private party or property management company).

Unacceptable Tradelines

Examples of unacceptable tradelines:

- Loans in a deferment period (Student loans can be counted as tradelines as long as they are in repayment and are not deferred)
- Collection or charged-off accounts,
- Accounts discharged through bankruptcy, and
- Authorized user accounts (unless evidence is provided that 24 consecutive payments have been made directly to the creditor by our borrower via canceled checks/autopay/ACH records)
- Foreclosures, deed in lieu of foreclosure, short sales, or pre-foreclosure sales
- Any account currently 90 days late

Rolling Late Payments

Rolling late payments are not considered a single event. Each occurrence of a contractual delinquency is considered individually for loan eligibility.

Past Due Accounts

Past due consumer debts can be no more than 30 days past due at the time of closing.

Delinquent Credit Belonging to Ex-Spouse

Delinquent credit belonging to an ex-spouse can be excluded from the credit evaluation when all the following apply:

- Borrower provides a copy of the divorce decree or separation agreement which shows the derogatory accounts belong solely to the ex-spouse.
- Late payments occurred after the date of the divorce or separation.
- Evidence of title transfer prior to any delinquent debt must be provided if debt is a mortgage, and evidence of buyout as part of court proceedings.

Collection accounts assigned to an ex-spouse may be excluded from aggregate collection totals with a divorce decree or separation agreement assigning the account solely to the ex-spouse.

Program Guidelines

Lawsuit or Pending Litigation

Can be considered on a case-by-case basis. Contact Account Executive for preapproval.

Consumer Credit Counseling Service (CCCS)

Can be considered on a case-by-case basis. Contact Account Executive for preapproval.

CREDIT EVENTS [SEE PROGRAM MATRIX]

- Housing Events: Foreclosure/NOD/SS/DIL
- Collection/Charge offs/Judgements
- Bankruptcy Seasoning
- Tax Liens

Assets

Asset Documentation

Bank Statements

Assets required for down-payment, closing costs and reserves are to be documented by 2 months, most recent bank statements or most recent quarterly statements.

Statements must have:

- Opening and closing balances
- Borrower as account holder
- Account number
- Statement date and time period covered
- Current balances in US dollars

Gift Funds [See Matrix for additional restrictions]

A gift can be provided by a relative, defined as the borrower's spouse, child, or other dependents, or by any other individual who is related to the borrower by blood, marriage, adoption, or legal guardianship, or a fiancée, or domestic partner.

The donor may not be or have any affiliation with the builder, the developer, the real estate agent, or any other interested party to the transaction. If your relative (or donor that meets FNMA eligible donor definition) is your real estate agent but no other party to the transaction (builder, developer, broker, seller, etc.) this is the one exception; however, the gift must be sourced and received prior to close and commission for the transaction cannot be used for a gift.

Funds from a non-borrowing spouse can be treated as the applicant's own fund and are not considered a gift. non-borrowing spouse funds in a sole account of his or hers can also be considered for reserves if the following is met:

- The borrower is currently married (not divorced/separated) from the spouse.
- Non-borrowing spouse has lived with borrower for the last 12 mos.
- Non-borrowing spouse has lived with borrower for the last 12 mos.
- Certifies he or she will continue to live with the borrower for the next 12 mos
- Non-borrowing spouse is on the title to subject property

Program Guidelines

Gifts must be evidenced by a letter signed by the donor, called a gift letter. Gift letter must:

- Specify the dollar amount of the gift.
- Specify the date the funds were transferred.
- Include the donor's statement that no repayment is expected; and
- Indicate the donor's name, address, telephone number, and relationship to the borrower

When a gift from a relative or domestic partner is being pooled with the borrower's funds to make up the required minimum cash down payment, the following items must also be included:

- A certification from the donor stating that he or she has lived with the borrower for the past 12 months and will continue to do so in the new residence.
- Documents that demonstrate a history of borrower and donor shared residency. The donor's address must be the same as the borrower's address. Examples include but are not limited to a copy of a driver's license, a bill, or a bank statement.

Verify that sufficient funds to cover the gift are either in the donor's account or have been transferred to the borrower's account. Acceptable documentation includes the following:

- A copy of the donor's check and the borrower's deposit slip, or
- A copy of the donor's withdrawal slips and the borrower's deposit slip, or
- A copy of the donor's check to the closing agent, or
- A settlement statement showing receipt of the donor's check and an image of the donor's check.

When the funds are not transferred prior to settlement, the lender must document that the donor gave the closing agent the gift funds in the form of a certified check, a cashier's check, or other official checks.

Gift of Equity

A "gift of equity" refers to a gift provided by the seller of a property to the buyer. The gift represents a portion of the seller's equity in the property and is transferred to the buyer as a credit in the transaction.

A gift of equity

- Is permitted for principal residence and second home purchase transactions;
- Can be used to fund all or part of the down payment and closing costs (including prepaid
- Cannot be used towards financial reserves.

The acceptable donor and minimum borrower contribution requirements for gifts also apply to gifts of equity. When a gift of equity is provided by an acceptable donor, the donor is not considered to be an interested party and the gift of equity is not subject to interested party contribution requirements.

Business Accounts

For self-employed borrowers, business assets are an acceptable source of funds for down payment, closing costs, and reserves with proof of ownership of the business.

Retirement Accounts

Vested funds from retirement accounts (IRA/SEP/Keogh/401k accounts) are acceptable sources of funds for the down payment, closing costs, and reserves. If the funds are being used for reserves 100% of the value of the account can be used, and liquidation is not required.

Program Guidelines

Foreign Accounts

Assets held in foreign accounts may be used as a source of funds to close and to meet applicable reserve requirements. These funds must be transferred to a U.S. domiciled account in the borrower's name at least ten (10) days prior to closing unless held in a multi-national Banking institution that has active branch locations in the U.S. (EXAMPLES: Applicant has funds in Hong Kong branch of J.P Morgan Chase, or European branch of Credit Suisse)

Assets must be verified in U.S. Dollar equivalency at the current exchange rate via either www.xe.com or the Wall Street Journal conversion table.

A copy of the two (2) most recent statements of that account. If the funds are not seasoned a minimum of sixty (60) days, a letter of explanation is required along with the information to comprise a sixty (60) day chain of funds.

Reserves requirements

- SEE MATRIX

Income

Acceptable Income Doc Types

- Full Documentation – 12 Month & 24 Month
- Asset Allowance/Depletion
- Bank Statements – Personal and/or Business 12 Month & 24 Month
- DSCR
- P&L
- 1099

The income of each applicant who will be obligated for the mortgage debt must be analyzed to determine whether his/her income (from all sources) can be reasonably expected to continue through at least the first three years of the mortgage loan. Each source of income should have a minimum of 2-year history and a minimum 3-year likelihood of continuance.

Guaranteed sources of income, such as annuities, pensions, social security retirement benefits need not have a history if the award letter is provided and the first payment will begin on or before the date of the first mortgage payment.

Income: Stability, Increasing & Declining Income

All sources of income included in the loan qualification must be stable, with a reasonable expectation that at least the same level of income will continue for a minimum of three years. Income increases can be immediately considered in the case of salaried incomes where a recent raise is evident (or the applicant has been notified of a raise that will be in place on or before the first payment date) that can be verified.

Increases in income for self-employed (as evidenced by YTD licensed/certified tax preparer provided P & L's) can be averaged with prior year's data to give the applicant additional income if the P&L expense line items and expense ratios are consistent with past years (or an acceptable explanation is provided).

Any income that has significantly declined (greater than 20%) from the (monthly or quarterly) averages in the earlier portions of the time period considered (12 Months or 24 Months) must have re-stabilized during the most recent 6 months and the qualifying amount will be limited to the new lower pace. An explanation for the decline must be provided that supports the assumption that no further declines in income are anticipated.

Program Guidelines

In no case can an income source be used for qualifications if any knowledge or documentation indicates that the income will terminate within the first three years of the loan. Applicants whose employers indicate that an income source will end in 3 years or less, due to retirement or layoff, must be qualified on sources other than the income source in question.

Income: Full Doc - Salaried Applicants

For purposes of this section, salaried applicants are defined as those who earn wages that are reported on IRS W2 forms at year-end and for which income taxes are withheld on regular paychecks. [Note: Applicants or co-applicants who are relying on rental income, income from partnerships or corporations (in addition to salaried income) in order to qualify are documented similar to self-employed borrowers.

Employment History & Stability Requirements: Applicants must generally have a two-year history in their line of work. If an applicant has less than 2 years' experience in their line of work, vocational or military training or education in the same field is considered an acceptable substitute (documentation of training or schooling should be provided). An applicant that has been in a line of work for less than 2 years but has had at least one documentable wage increase or favorable performance review is also acceptable.

Gaps of employment greater than 30 days must be explained in writing by the applicant. Gaps of employment greater than 6 months require an explanation from the applicant and a minimum two-year history in the line of work prior to the gap documented. Job changes within the same line of work are not considered adverse factors so long as income is stable or increasing and gaps are addressed.

A borrower starting with a new employer during the application process can be considered if a written offer letter confirming the name of the employer, the start date, the position, and the rate of pay is provided (and subsequently confirmed). The applicant must start the position prior to closing and a Verbal VOE must successfully confirm the start date.

Income: Full Doc - Bonus Income

Generally, an applicant must have a two-year history of bonus income (or past year & year-to-date for 12-month income program) from the same employer to consider the bonus as part of the qualifying income.

If an applicant who switched jobs within the same line of work, has received bonus income from the prior employer and has received at least one bonus from their current employer bonus income may be considered for qualifying income provided the applicant can document a likelihood of continuance of bonus income at the new employer.

Income: Full Doc - Overtime Income

Overtime income can be used to qualify the applicant if he/she has received this income for the past two years, and it will likely continue. If employment verification states that the overtime income is unlikely to continue, it may not be used in qualifying. Develop an average of overtime income for the past two years with year-end paystubs and year-to-date on 24-month programs and use a prior year-end paystub and year-to-date information on a 12-month program.

To take advantage of raises to hourly compensation, if the employer confirms the number of overtime hours logged for the employee in the preceding 2 years & year-to-date, the underwriter can develop an average number of overtime hours multiplied by the current hourly rate for overtime earnings, so long as the number of hours each year is stable or increasing.

Income: Full Doc - Commission Income

To include commission income as qualifying income the applicant must have a consecutive, and most recent two-year history in the same field, and the commission income must be determined and calculated separately from base wages for the two-year period.

Applicants whose commission income was received for more than one full calendar year, but less than two years, may be considered favorably if the likelihood of continuance can be documented in the file. Commission income earned for less than one year is not considered qualifying income and will be treated as a compensating factor only.

Program Guidelines

[NOTE: Exceptions may be made for situations in which the applicant's compensation was changed from salary to commission within a similar position with the same employer.]

Commission income may fluctuate from year to year and therefore, an average of the last two years of income should be used in qualifying the applicant. Develop an average of commission income.

Self-Employment Income

Borrowers who own 25% or more of a company are considered self-employed. Provide most recent year completed and filed Personal and Business tax returns (if applicable) with all schedules. Profit and Loss statement(s) is required covering the period since the last tax return was filed.

Bank Statement Income (Self Employed borrowers only)

The Bank Statement Income option is designed to qualify a borrower by analyzing cash flow from the borrower's bank accounts.

Calculation/Documentation:

Option One: 12/24 months Personal Bank Statement Program

- Qualifying income is 100% of deposits, not including transfers from other personal accounts, averaged over 12/24-month period
- Verification of business existence required
- All parties listed on each bank account must be included as borrowers on the loan (exceptions are available, contact your AE)
- Statements must be consecutive and reflect the most recent months available
- Additional income deposited into the bank statements but derived from a source other than the self-employed business may not be included in the bank statement average but can be documented separately
- Income derived solely from the ownership of rental properties as declared on Schedule E are eligible case by case (contact your AE)
- At least one borrower must be self-employed, co-borrower can be a W2 employee

Option Two: 12/24 months Business Bank Statement Program

- Qualifying Income is the lower of the following two options:
 - Income indicated on the initial signed 1003
 - Monthly net income after deducting a 50% expense factor (the percentage can be higher or lower if the underwriter determines its reasonable for the line of work and the file is notated) from the total usable deposits on the bank statements.
- Business bank accounts or personal bank accounts addressed to a DBA, can be used for qualification
- Verification of business existence required
- Wire transfers and transfers from other accounts must be documented or excluded from the calculation.
- Statements should show a trend of ending balances that are stable or increasing over time
- Decreasing or negative ending balances must be explained
- Business expenses must be reasonable for the type of business
- At least one borrower must be self-employed, co-borrower can be a W2 employee.

Program Guidelines

P&L Income

12- or 24-month P&L prepared and signed by CPA/EA or Tax Preparer.

CPA/EA/Tax Preparer must attest to the fact they have prepared the borrower's most recent tax returns.

- Qualifying income is the monthly net income from the P&L divided by the number of months covered by the P&L.
- Depreciation, depletion and amortization/casualty losses listed on the P&L may be added back to the applicant's income.

Bank statements may be required.

1099 Income

1099 Income documentation eligibility is limited to individual borrowers being paid via 1099 but are not the business owner of the entity issuing the 1099. Self-Employed borrowers who are business owners paying their earnings via 1099 are not eligible for this income documentation.

- Evidence of year-to-date earnings via YTD bank statements, a printout of YTD wages from their employer/employers with YTD income must be completed by each employer.
- A 10% automatic expense ratio will apply when the 1099 is paid to the borrower individually. In the event the 1099 is paid to the borrower's business, the loan may be considered, however an Expense Letter from the borrower's CPA/Tax preparer is required to determine the qualifying income.

Foreign National

Foreign national is a person who is not a resident of the United States and does not permanently reside or work in the United States.

- Must have an unexpired passport from their country of citizenship.
- Ineligible - Residents of any country not permitted to transact business with US companies (as determined by any US government authority).
- Second home and investment occupancy only.

Self-Employed Foreign National

- A letter (on company letterhead) from a professional based in the borrower's country of residence – Accountant/CPA/Financial Institution Officer/ Licensed Financial Advisor verifying both the nature of the business and income figures for the last 2 years and year-to-date. Must be translated into English by a certified translator (if applicable).
- Validation of the existence of the business through internet web page address, or business/operator license from a governmental office.
- Foreign tax returns may be required.

Wage Earner Foreign National

- A letter (on company letterhead) from an authorized representative the employer stating employment history (position/title, time on job), year to date earnings and earnings for the prior 2 years. Must be translated into English by a certified translator (if applicable).
- Foreign tax returns may be required.

Eligible Assets

- Assets held outside the US are eligible, must have a copy of their 2 most recent bank statements (bank statements must be translated into English, if applicable).
- US Assets provide 2 months' recent bank statements

Program Guidelines

Credit

- US credit not required.
- If no foreign credit report is available, the following can be provided: 3 credit reference letters translated into English with a 24-month history which can include rental/mortgage history and non-traditional credit sources, i.e. utility company.

Debt Service Coverage Program

The DSCR program is used to qualify a borrower by analyzing the source of their income for stability and continuity.

- Qualification based on property cash flow (take 100% of the gross yearly rents divided by the PITIx12 (yearly) of the subject property).
- The PITI calculation for interest only loans is based on a 30-year amortization (40-year loan).
- Do not provide any personal income and no 4506T required.
- No DTI calculation is used.
- Loans under the DSCR Investor Program are classified as business loans. Appendix Q and ATR requirements do not apply.
- To calculate gross income, use the lower of the (a) executed lease agreement (on a refinance) or (b) market rent from appraisal form 1007 or other AMC generated market rents form.
- Refer to the DSCR matrix for options & LTV restrictions.
- First time homebuyers are not permitted.

Property

Loans equal to or less than \$1,500,000:

Require one full 1004 uniform residential appraisal report with three closed sales and two pending sales or current listings.

Loan amounts over \$1,500,000:

Require two full 1004 uniform residential appraisal report appraisals. They can be ordered through the same AMC but must be different appraisers. Each appraisal should include three closed sales as well as two pending sales or current listings. The lower of the 2 will be used to calculate LTV.

Appraisal reviews:

A secondary valuation is required for all loans regardless of the dollar amount, unless there are 2 full appraisals in the file (desk review, field review or CDA).

Determining LTV:

- The LTV ratio is measured by dividing the requested loan amount by the value of the property.
- If the property has been listed in the last 12 months, the value is based on the appraised value or the lowest listed sales price, whichever is lower.
- Cash-Out – if the property was acquired within the last twelve months, the lower of the original purchase price or appraised value will be utilized.
- Listed Property – a property must be off the market before receiving cash-out on a refinance.

Rural Properties:

Case by case

Agricultural Properties:

Ineligible

Program Guidelines

Condominiums

All loans secured by condominiums require a completed project questionnaire

Non-Warrantable Condos:

- Commercial space: up to 50% of the project
- New Construction: The project, or the subject's legal phase along with other phases, must be complete. All common elements in the project or legal phase must be 100% completed. At least 50% must be sold or under a bona-fide contract.
- CondoTels: Must have a full kitchen, be common and customary for the market and have comparable sales outside the project (break out units case by case).
- Delinquent HOA dues: No more than 20% of the total units in the project may be 60 days or more past due on the payment of condominium/association fees.
- Investor Concentration: Up to 60% without exception: higher percentages may be considered on investment property transactions when an established history of a high percentage of rental units in the condo project can be demonstrated.
- HOA control: The developer may be in control of the condominium association provided the Master Agreement provides for the homeowners to take control upon either a predetermined percentage of unit sales or within a defined time period.
- Reserves: Budget must include a dedicated line-item allocation to replacement reserves of at least 8% of the budget or a reserve study will be required.
- Litigation: Projects involved in litigation are acceptable as long as the pending lawsuit(s) are not structural in nature which affect the subject unit, do not affect the marketability of the units and potential damages do not exceed 25% of the HOA reserves or documentation should be provided by the insurance carrier or the attorney representing the insurance carrier that the insurance carrier has agreed to provide the defense and the association's insurance policy is sufficient to cover the litigation.
Percentage of ownership: Single entity ownership in project up to 20% without exception
- Cooperatives: Not allowed
- Tenancy In Common: Considered on a case-by-case basis

Improvements to Properties

All improvements to properties should be permitted and completed in a workmanship-like manner. Real property must be generally owned "fee simple" to be acceptable collateral; leaseholds are acceptable, on a case-by-case basis, if the remaining term of the lease extends beyond the term of the loan.

Property Reports:

A termite inspection report will be required for purchase money mortgages, if it is required by the real estate sales contract.

Age of Appraisal:

An appraisal report is valid for 120 days from date of valuation. When an appraisal report is more than 120 days old on the date of the Note, a recert of value will be required. The recert of value will extend the valid period to 180 days from the date of valuation.

Appraisal Requirements

The appraisal must conform to FNMA and USPAP guidelines. Any appraisal item that is noncompliant with FNMA requirements must be addressed by an appraiser's comments. Appraisals must be ordered through a 5th Street Capital approved AMC.

- A 3-year sales history and property history (with renovations and additions) of the subject property; 12-month history for comparable sales; An estimated "market time" for the subject property; The report must include photographs of the main living area, the kitchen and every bathroom. Submit forms 216 and 1007 with each investment properties.
- A sketch of the floor plan and comparable map.

Program Guidelines

- An overview of "current market conditions".
- Note whether the subject property is listed for sale or lease. Note the terms of the lease, if applicable.
- Colored photos required on all loans and must be included in the submitted loan file.
- Show net and gross adjustments for all comparable sales.
- Pending and Listing comparable sales must be in grid format with adjustments applied.

Seller Concessions

Excessive sales concessions can artificially inflate the sales price of a property, which can then lead to an inflated market value. Appraisals must reflect an opinion of market value after adjustments for any special or creative financing or sales concessions have been made.

Flips

If the seller has owned a property for less than 6 months, scrutiny should be given to the appraisal to evaluate whether the value is supported. If the subject transaction is a higher-priced mortgage (HPML), an additional appraisal must be ordered that the borrower cannot pay for if the following:

- More than a 10 percent price increase if the seller acquired the property in the past 90 days.
- More than a 20 percent price increase if the seller acquired the property in the past 91 to 180 days.

TIC (Tenancy in Common) Underwriting Requirements

This document presents the organizational and documentation requirements that must be satisfied for 5th Street Capital to consider originating a loan secured by an undivided fractional interest in real property (the "Property") coupled with a non-recorded, contract-based exclusive right to occupy a particular area of the Property. 5TH Street Capital will require independent review of the proposed documents prior to agreeing to extend credit, and reserves the right, in its sole discretion, to determine (i) whether the requirements described below are adequately satisfied, and (ii) whether it wishes to impose additional or different requirements.

PART 1—REGULATORY

5TH Street Capital requires full compliance with the California Subdivided Lands Act (the "SLA", codified as California B & P Code Sections 11000 et seq.). When SLA applies to the sale of an undivided interest in connection with which a loan from 5TH Street Capital is requested, 5TH Street Capital will require proof of compliance in the form of a then-currently valid Final Subdivision Public Report issued by the California Department of Real Estate. In general, SLA applies to a sale when both of the following conditions are satisfied:

- The Property consists of five or more units, of which at least one is residential (regardless of the number of undivided interests being created, marketed or sold); and
- An undivided interest is being marketed or sold by a person that owns or previously owned the entire property.

PART 2—TIC AGREEMENT

The requirements described in this Part relate to the agreement (referred to here as the "TIC Agreement") among the owners (referred to here as the "Co-tenants") of undivided fractional interests (referred to here as the "Co-tenancy Shares") in the Property.

1. Legend

- 1.1 Legend imprinted on the first page of the TIC Agreement stating that the TIC Agreement should not be recorded, and that recording the TIC Agreement may create an illegal subdivision under local and/or state law. MAY CREATE ILLEGAL SUBDIVISION INTERESTS UNDER STATE OR LOCAL LAW".

Program Guidelines

2. Definitions

- 2.1 The TIC Agreement must contain provisions defining “Co-tenant” or an alternative term to mean the owner or owners (collectively) of a particular Co-tenancy Share.
- 2.2 The TIC Agreement must contain provisions defining “Co-tenancy Share” or an alternative term to mean a discreet percentage ownership interest in the property with a particular set of rights and duties which cannot be further fragmented or divided. The TIC Agreement must specifically provide that if a Co-tenancy Share is owned by more than one individual, (i) each person within the group shall be jointly and severally liable for all obligations and responsibilities associated with the Co-tenancy Share, and (ii) any act or omission by one of the persons within the group shall be deemed the act or omission of all persons within the group.
- 2.3 The TIC Agreement must contain provisions defining “TIC” or an alternative term to mean all co-owners of the property collectively and any subgroup of co-owners or other entity acting on behalf of all the co-owners collectively.
- 2.4 The TIC Agreement must contain provisions defining “Unit” or an alternative term to mean the dwellings or commercial units for which exclusive possessory rights are being assigned, together with a clear definition of the boundary of each Unit and the physical and mechanical elements which are part of the Unit.
- 2.5 The TIC Agreement must contain provisions defining “Common Area” or an alternative term to mean the portion of the property which is not within the definition of Unit.

3. Possessory Rights and Restrictions

- 3.1 The TIC Agreement must contain provisions describing the portions of the property to which each Co-tenant has an exclusive right of occupancy, clearly creating such exclusivity, and further providing that such occupancy right will automatically transfer to any successor including an individual or entity who acquires an interest through foreclosure or a deed in lieu of foreclosure.
- 3.2 The TIC Agreement must contain provisions explicitly authorizing a Co-tenant to rent out (except as prohibited by law) the portion of the property to which exclusive possessory rights are assigned to him/her, and to retain all rent collected, subject only to reasonable restrictions on tenant selection and a requirement that all rental occupants execute a rental agreement under which each is bound to adhere to the habitation rules, and the maintenance, repair and alteration requirements, of the TIC Agreement (except to the extent that such requirements are superseded by consistent but more restrictive provisions in the rental agreement).
- 3.3 The TIC Agreement must contain a prohibition of any use of the property that (i) creates a nuisance, (ii) unreasonably interferes with the quiet enjoyment of an occupant, (iii) adversely affects insurance coverage on the property, or (iv) is in violation of a governmental regulation.

4. Maintenance and Alteration

- 4.1 The TIC Agreement must contain provisions allocating responsibility for maintenance, repair and replacement of all elements of the property among the co-owners, imposing reasonable standards for the condition of all such elements, and creating restrictions on the rights of co-owners to alter the property, in a manner reasonably calculated to maintain the value and desirability of the property.

5. Expenses and Management

- 5.1 The TIC Agreement must contain provisions (i) allocating all costs among the Co-tenancy Shares, (ii) requiring the annual creation of a budget for all reasonably expected operating expenses, (iii) requiring the imposition and

Program Guidelines

collection of monthly assessments from each Co-tenant in an amount sufficient to fund all operating expense as shown on the budget, and (iv) creating a procedure for imposing and collecting additional assessments for unexpected or under-funded expenses.

5.2 The TIC Agreement must contain provisions assigning responsibility for financial management (including collection of assessments, payment of expenses and reasonable periodic reporting), and physical management (including periodic inspection of elements of the property which the TIC is obligated to maintain, hiring and supervision of contractors, and periodic cleaning of all common areas), to particular co-owners and/or outside managers.

5.3 The TIC Agreement must contain provisions creating a reasonable likelihood that the TIC and each Co-tenant will be able to successfully enforce the TIC Agreement reasonably quickly within the limitations imposed by law.

6. Governance and Enforcement

6.1 The TIC Agreement must contain provisions creating a reasonable system of governance and decision making for the TIC including an allocation of voting rights, a method for calling and conducting meetings, and a requirement that written minutes of all meetings be created and maintained.

7. Transferees and Successors

7.1 The TIC Agreement must not contain any right of first refusal or pre-emptive purchase right under which the transferor of a Co-tenancy Share must offer to sell the share to any person(s) or to the owner group before transferring it to the person of the transferor's choice.

7.2 The TIC Agreement must not contain any provision under which the sale price of a Co-tenancy Share is proscribed in any form, including a provision where the price must be related to any sort of valuation process or approved by any person or group.

7.3 The TIC Agreement must not contain any provision under which the seller of a Co-tenancy Share is required to provide to the other owners any portion of the sale proceeds.

7.4 The TIC Agreement must not contain any provision under which the sale or other transfer of a Co-tenancy Share is prohibited prior to a certain date or event, or where the sale or other transfer requires the approval of any person or the owner group.

7.5 The TIC Agreement must not contain any provision under which the transferee of a Co-tenancy Share must be approved by any person or the owner group.

7.6 The TIC Agreement must contain provisions under the transferor of a Co-tenancy Share must obtain the signature of each transferee on a document under which the transferee agrees to be bound by the TIC Agreement, and acknowledges the usage rights to be assigned to him/her. Such provision should impose liability on a transferor who fails to obtain such signature and provide it to the other owners prior to completing the transfer.

7.7 The TIC Agreement must contain provisions under which the successor of any co-owner of the property shall be deemed to assume all obligations and liabilities of the party whose interest he/she obtained, regardless of whether he/she has executed a document agreeing to be bound by the TIC Agreement.

8. Mortgage Protection

8.1 The TIC Agreement must contain provisions enabling any Co-tenant to create an encumbrance which is solely against his/her interest in the property provided the loan documents associated with the encumbrance explicitly state that the lender, or any individual or entity who acquires title through foreclosure (the "post-

Program Guidelines

foreclosure owner”), takes title subject to all of the provisions of the TIC Agreement and shall be entitled to no greater rights than the Co-tenant who created the foreclosed encumbrance.

8.2 The TIC Agreement must contain provisions under which any post-foreclosure owner (as defined above) (i) automatically acquires all of the rights assigned by the TIC Agreement to the person whose interest was foreclosed undiminished by any prior or subsequent act or omission of such person, and (ii) is automatically subject to all of the restrictions and requirements of the TIC Agreement except the obligation to pay assessments or other charges that became due and payable prior to the date the post-foreclosure owner acquired title. These provisions must explicitly provide that the TIC and each co-owner of the property waives any claims of subrogation that could be raised against any post-foreclosure owner for assessments or other charges that become due and payable prior to the date he/she/it acquired title.

8.3 The TIC Agreement must contain provisions under which no action taken by the TIC or by any co-owner of the property to enforce an obligation imposed by the TIC Agreement, including an attempt to terminate, limit or alter a Co-tenant’s usage or possessory rights, shall in any way diminish or otherwise affect the rights of any lender (i) to enforce any provision of his/her/its loan documents even where a loan document was recorded after the occurrence which provides the basis for the enforcement action, or (ii) to automatically acquire all of the rights assigned by the TIC Agreement to a Co-tenant whose interest the lender acquires through foreclosure or deed in lieu of foreclosure (undiminished by any prior or subsequent act or omission of such Co-tenant).

8.4 The TIC Agreement must contain provisions under which (i) each lender shall have priority over the rights of all owners of the interest encumbered by the lender’s loan documents to distribution of insurance proceeds or condemnation awards for losses to or a taking of such owners’ interest in the property, and (ii) all casualty insurance policies shall contain loss payable clauses naming all lender’s as loss payees.

8.5 The TIC Agreement must contain provisions under which the prior written consent of each lender with an encumbrance against a Co-tenancy Share is required prior to take any of the following actions, and further providing that any action taken without such consent is void and unenforceable against each such lender and its successors: (i) increase such Co-tenancy Share’s previous allocation of any expense; (ii) decrease such Co-tenancy Share’s previous allocation of proceeds from insurance or condemnation; and (iii) alter the boundaries or permissible uses of any area of the Property to which such Co-tenancy Share had exclusive possessory rights.

8.6 The TIC Agreement must contain provisions under which the prior written consent of all lenders is required prior to take any of the following actions, and further providing that any action taken without such consent is void and unenforceable against every lender and its successors: (i) sell the entire Property; (ii) fail to maintain fire and extended coverage on all improvements located on the property in an amount not less than 100% of insurable value based on current replacement cost; or (iii) materially alter any provision of the TIC Agreement that is intended to benefit or protect a lender.

8.7 The TIC Agreement must contain a requirement that each lender be given written notice of any of the following: (i) any disciplinary or enforcement action, or warning of such action, against a Co-tenant whose Co-tenancy Share is encumbered by the lender’s loan; (ii) any loss, casualty, condemnation, or eminent domain action which significantly affects the property; (iii) any legal proceeding against the TIC or any Co-tenant; and (iv) the lapse or cancellation of any insurance policy required by the TIC Agreement.

8.9 The TIC Agreement must contain provisions under which any lender may appear at meetings of Co-tenants or any associated board or committee, and may inspect and copy books of accounts, financial statements, and meeting minutes, for any purpose reasonably related to his/her/its interests as a lender.

Program Guidelines

8.10 The TIC Agreement must contain provisions requiring that the TIC timely pay all taxes, assessments and other charges that could have priority equal or superior to the interest of a lender, and requiring the TIC to notify each lender within 30 days of a failure to timely make any such payment.

8.11 The TIC Agreement must contain provisions under which all co-owners of the Property and their successors, and all lender and their successors, for a period of 75 years, unconditionally waive the right to partition the property and to terminate or modify the TIC Agreement under Code of Civil Procedure §872.010, et seq., unless one of the following conditions is satisfied: (i) more than three years before the filing of the action for partition and/or termination, the property was damaged or destroyed, so that a material part was rendered unfit for its prior use, and the property has not been rebuilt or repaired substantially to its state prior to the damage or destruction, or (ii) three-fourths or more of the property is destroyed or substantially damaged and more than 50% of the Co-tenants oppose repair or restoration. The TIC Agreement shall further provide that in the event of partition, all co-owners of the property and their successors, and all lenders and their successors, waive any right to claim that partition in any way prohibits, limits, diminishes or interferes with any lender's rights, and further waive any right to claim that partition in any way prohibits, limits, diminishes or interferes with any lender's right to pursue all rights and remedies under its loan documents, including the right to foreclose and the right to obtain timely and full payment of its loan prior to any party obtaining payment from partition.

PART 3—RECORDED MEMORANDUM OR DECLARATION

The requirements described in this Part relate to an additional document (referred to here as the "Recorded Document") that must be recorded against the Property and bind its original signers as well as all persons who later acquire any interest in the Property.

9. Constructive Notice

9.1 The Recorded Document must generally refer to and briefly described the TIC Agreement, without mentioning the assignment of exclusive usage rights.

9.2 The Recorded Document must express the intention that it provides constructive notice of the existence of the TIC Agreement, but not to affect or modify the provisions of the TIC Agreement.

10. Partition Waiver

10.1 The Recorded Document must contain a provision under which the signers of the Recorded Document, on their own behalf and on behalf of the successive owners of the Property, including but not limited to creditors who become owners through enforcement of creditor rights including foreclosure, unconditionally waive the right of partition to the extent described in Subsection 8.11 above. This provision must state that waivers are made for the benefit of all successors in interest, and that it is intended to be a "covenant running with the land" as defined in California Civil Code Section 1468.

11. Lender Rights Acknowledgment

11.1 The Recorded Document must contain a provision under which the signers of the Recorded Document, on their own behalf and on behalf of the successive owners of the Property, give notice that present and/or future Property owners have undertaken obligations to lenders that limit the ability of owners, other lenders, creditors, bankruptcy trustees, and others, to take certain actions they might otherwise be entitled to take in the absence of such obligations, and that the Recorded Document is intended to prevent such parties from successfully claiming that they were ignorant of, or are not bound by, such obligations.

12. Additional Lender Protections

12.1 If the Recorded Document creates nonjudicial enforcement rights, then it must contain provisions reiterating the lender protections described in Subsections 8.3 and 8.4 above.

Program Guidelines

Miscellaneous

Programs: Property Insurance Coverage Requirements

Property insurance for loans must protect against loss or damage from fire and other hazards.

Guidelines covered by the standard extended coverage endorsement. The coverage must provide for claims to be settled on a replacement cost basis. Property insurance policies that provide for claims to be settled on an actual cash value basis are not acceptable.

Extended coverage must include, at a minimum:

- Fire or lightning
- Wind
- Civil commotion (including riots)
- Smoke
- Hail, and
- Damages caused by aircraft, vehicles, or explosions.

Policies that limit or exclude from coverage (in whole or part) windstorm, hurricane, hail damages, or any other perils that normally are included under an extended coverage endorsement are not acceptable.

All property types (with the exception of condos)

Required coverage equal to the lesser of the following:

- 100% of the insurable value of the improvements, as established by the appraisal or property insurer; or
- The unpaid principal balance of the mortgage, as long as it at least equals the minimum amount—80% of the insurable value of the improvements.

Deductible Amount

The maximum allowable deductible for insurance covering a property securing a first mortgage loan is 5% of the face amount of the policy. When a policy provides for a separate wind-loss deductible (either in the policy itself or in a separate endorsement), that deductible must be no greater than 5% of the face amount of the policy.

Condo Requirements

Master Policy

Insurance must cover 100% of the insurable replacement cost of the project improvements, including the individual units in the project. An insurance policy that includes any of the following coverage, either in the policy language or in a specific endorsement to the policy, is acceptable:

- Guaranteed Replacement Cost – the insurer agrees to replace the insurable property regardless of the cost,
- Extended Replacement Cost – the insurer agrees to pay more than the property's insurable replacement cost, or
- Replacement Cost – the insurer agrees to pay up to 100% of the property's insurable replacement cost.

Program Guidelines

HO6 Insurance

If the policy is a “bare walls policy” This policy typically provides no coverage for the unit interior, which includes fixtures, equipment, and replacement of interior improvements and betterments. As a result, the borrower must obtain an individual HO-6 policy that provides coverage sufficient to repair the condo unit to its condition prior to a loss claim event, as determined by the insurer.

Liability Insurance Requirements

The amount of coverage must be at least \$1 million for bodily injury and property damage for any single occurrence.

**if property is a site condo without a master policy follow all property type coverage requirements

Deductible Amount

The maximum deductible for the following policies is 5%; however, a deductible of up to 10% is permitted on non-warrantable projects when the HOA budget is sufficient to cover the deductible.

Flood Insurance

The minimum amount of flood insurance required for most first mortgages secured by 1-unit properties and individual PUD units is the lower of:

- 100% of the replacement cost of the insurable value of the improvements.
- The maximum insurance available from the National Flood Insurance Program (NFIP), which is currently \$250,000 per dwelling; or
- The unpaid principal balance of the mortgage

Deductible Amount

The maximum allowable deductible is the maximum available from the NFIP, which is currently \$10,000. The maximum allowed deductible for a PUD or condo project is \$25,000.